Executive MBA

Financial Accounting

Professor Haresh Sapra

Lecture 1: Accrual Accounting and the Cash Flow Statement.

CHICAGO BOOTH
The University of Chicago Booth School of Business

Tentative Schedule: Week 1§			
Date♦	Topics	Required Readings	Recommended Problems
21/1/25	Accrual Accounting and the Statement of Cash Flows	Chapter 1: 1-3 through1-19 Chapter 2: 2-3 through 2-29 Chapter 3: 3-3 through 3-28 Chapter 4: 4-3 through 4-25	P1-38, P1-39, P1-40. P2-58, P2-63, P2-67, P2-70. E3-50. P3-56, P3-59. E4-35, E4-36. E4-38, E4-40, E4-41, E4-42.
21/1/25	**40-minute quiz administered via Canvas from 12:00 to 12:40 PM**		
22/1/25	Revenue Recognition, Receivables, and Operating Income	Chapter 6: 6-3 through 6-21	M6-17, M6-18, M6-22, E6-30, E6-38, E6-45, P6-55, P6-56.
23/1/25	Operating Expenses, Current Operating Assets, and Liabilities Long-Lived Operating Assets	Chapter 7: 7-3 through 7-27 and Chapter 9: 9-4 through 9-13 Chapter 8: 8-3 through 8-24	M7-23, M7-26, E7-29, E7-33, P7-37. M9-21, E9-46, E9-51. E8-29, E8-31, E8-32, P8-46.
24/1/25	Time Value of Money and Bonds	Appendix A	EA-9, EA-15, EA-17, EA-18.
25/1/25	Long-Term Bonds cont'd + Midterm Exam Review	Chapter 9: 9-13 through 9-26	M9-26, M9-36, M9-37, E9-47, E9-59, P9-67, P9-68.
Tentative Schedule: Week 2			
24/2/25	**Midterm Exam: Two (2) hours in-class exam**		
25/2/25	Lease Reporting	Chapter 10: 10-3 through 10-14	M10-14, M10-16, M10-18, E10-35, P10-48.
26/2/25	Tax Reporting	Chapter 10: 10-25 through 10-36	E10-41, E10-42, E10-43, P10-52, P10-53, P10-55, P10-57, C10-59.
27/2/25	No Lecture	Please work on group assignment 5	
28/2/25	Financial Investments Reporting	Chapter 12: 12-5 through 12-34	M12-12, M12-16, M12-18, M12-24, E12-38, E12-43, E12-44, E12=50, E12-51 (Parts 1 and 2 only).
1/3/25	Interpreting and Analyzing Financial Statements	Chapter 5: 5-3 through 5-25	M5-20, M5-22, M5-24, E5-28, E5-33, P5-39.
7/4/25	**Final Exam: Three (3) hours in-class exam on Monday April 7.**		

Course Assessment

Item	Weight (w)
1st class quiz (40 minutes)	5%
Midterm Exam (2 hours)	25%
Final Exam (3 hours)	45%
Six (6) Group Assignments	25%
Total	100%

Exams (70%):

- Exam Grade: *Max (0.25*Midterm + 0.45*Final, 0.70*Final)*. Both exams are mandatory and closed books-closed notes. However, you are allowed to use a *one-page A4 cheat sheet*. It will be collected with your exam.

First Class Quiz (5%):

- Open notes and books including use of your laptop; assigned during last 40 minutes of class today.

Six (6) Group Assignments (25%):

Assignments	Due Date
1	January 23
2	January 25
3	February 5
4	February 19
5	March 1
6	March 23

Office Hours and Teaching Assistants

- **Office hours:**
  - During class weeks, I will usually be available in my office during lunch time and after class.
  - During non-class weeks, I will usually hold weekly virtual office hours on Thursdays *from 8 pm to 9 pm (Hong Kong/China time)*.
  - Email me to make an appointment if you want to meet one-on-one during non-class weeks.
- **Teaching Assistants**:
  - Ms. Angela Cheng and Ms. Shirley Xu: Angela is a Booth EMBA Alum from the AXP23 cohort while Shirley is a Booth EMBA Alum from the AXP20 cohort. They will hold office hours and conduct the review sessions.

Course Expectations

1. Class Attendance:

   - You must attend the course in-person. You cannot miss any lectures without prior approval: automatically dropped if you miss two lectures.

2. Punctuality: Do not be late for class. *You should show up at least 5 minutes before class begins.*

3. Please put all smart phones away during class. If you need to use your smart phone, please step out of class.

4. What is the best way to learn the material and do well in your course?

   - Be fully engaged in all group assignments.
   - Attend office hours during non-class weeks.
   - Do not procrastinate: Reach out to me and the TAs if you are struggling.

5. I take the Booth Honour Code very seriously and you should do the same.

Microsoft: Income Statements

Year Ended June 30,		2024		2023		2022
Revenue:						
Product	$	**64,773**	$	64,699	$	72,732
Service and other		**180,349**		147,216		125,538
Total revenue		**245,122**		211,915		198,270
Cost of revenue:						
Product		**15,272**		17,804		19,064
Service and other		**58,842**		48,059		43,586
Total cost of revenue		**74,114**		65,863		62,650
Gross margin		**171,008**		146,052		135,620
Research and development		**29,510**		27,195		24,512
Sales and marketing		**24,456**		22,759		21,825
General and administrative		**7,609**		7,575		5,900
Operating income		**109,433**		88,523		83,383
Other income (expense), net		**(1,646)**		788		333
Income before income taxes		**107,787**		89,311		83,716
Provision for income taxes		**19,651**		16,950		10,978
Net income	$	**88,136**	$	72,361	$	72,738

Operating expenses associated with products delivered and services rendered during fiscal 2024

*Operating expenses **not** directly linked to revenues*

Also known as EBIT= Earnings before Interest & Taxes

Non-operating income

Taxes Microsoft expects to pay in fiscal 2024 or later on its earnings.

Microsoft: Balance Sheets

BALANCE SHEETS

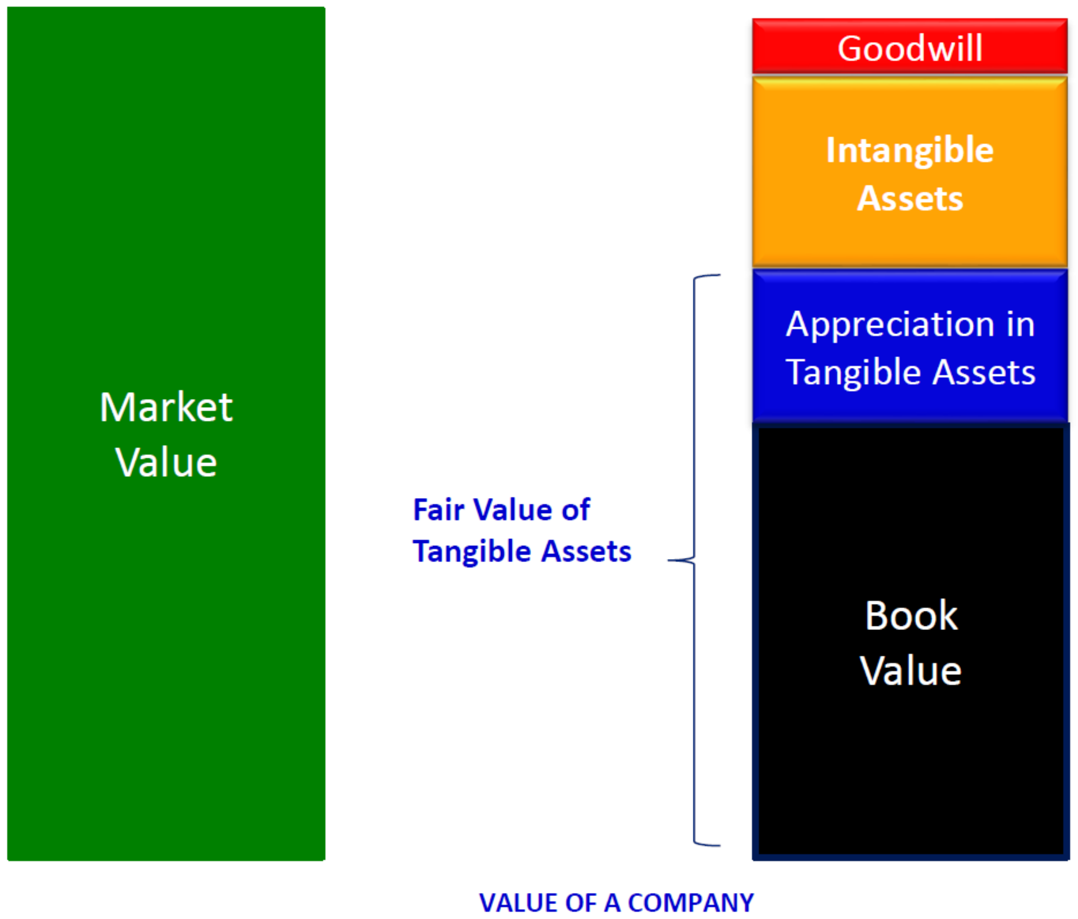
(In millions)

June 30,		2024		2023
Assets				
Current assets:				
Cash and cash equivalents	$	**18,315**	$	34,704
Short-term investments		**57,228**		76,558
Total cash, cash equivalents, and short-term investments		**75,543**		111,262
Accounts receivable, net of allowance for doubtful accounts of **$830** and $650		**56,924**		48,688
Inventories		**1,246**		2,500
Other current assets		**26,021**		21,807
Total current assets		**159,734**		184,257
Property and equipment, net of accumulated depreciation of **$76,421** and $68,251		**135,591**		95,641
Operating lease right-of-use assets		**18,961**		14,346
Equity and other investments		**14,600**		9,879
Goodwill		**119,220**		67,886
Intangible assets, net		**27,597**		9,366
Other long-term assets		**36,460**		30,601
Total assets	$	**512,163**	$	411,976
Liabilities and stockholders' equity				
Current liabilities:				
Accounts payable	$	**21,996**	$	18,095
Short-term debt		**6,693**		0
Current portion of long-term debt		**2,249**		5,247
Accrued compensation		**12,564**		11,009
Short-term income taxes		**5,017**		4,152
Short-term unearned revenue		**57,582**		50,901
Other current liabilities		**19,185**		14,745
Total current liabilities		**125,286**		104,149
Long-term debt		**42,688**		41,990
Long-term income taxes		**27,931**		25,560
Long-term unearned revenue		**2,602**		2,912
Deferred income taxes		**2,618**		433
Operating lease liabilities		**15,497**		12,728
Other long-term liabilities		**27,064**		17,981
Total liabilities		**243,686**		205,753
Commitments and contingencies				
Stockholders' equity:				
Common stock and paid-in capital – shares authorized 24,000; outstanding **7,434** and 7,432		**100,923**		93,718
Retained earnings		**173,144**		118,848
Accumulated other comprehensive loss		**(5,590)**		(6,343)
Total stockholders' equity		**268,477**		206,223
Total liabilities and stockholders' equity	$	**512,163**	$	411,976

Book Equity vs. Market Equity

- Stockholders' equity—the "value" of the company per GAAP; aka book value or book value of equity.
  - MSFT's book equity at 30/6/2024 was $268.5B
- Market value of equity = Number of common shares outstanding × Company's stock price; aka market capitalization.
  - MSFT's market equity at 30/6/2024 was $3,300B.
- Book value is typically *much lower* than market value. Why?
  - GAAP reports assets and liabilities at **historical costs**, whereas the market attempts to estimate fair values
  - GAAP excludes many intangible assets that cannot be **reliably measured.**
  - GAAP does not consider **expected future performance**

Market Value vs. Book Value



Microsoft: Cash Flows Statements (Indirect)

Year Ended June 30,		2024		2023		2022
Operations						
Net income	$	**88,136**	$	72,361	$	72,738
Adjustments to reconcile net income to net cash from operations:						
Depreciation, amortization, and other		**22,287**		13,861		14,460
Stock-based compensation expense		**10,734**		9,611		7,502
Net recognized losses (gains) on investments and derivatives		**305**		196		(409)
Deferred income taxes		**(4,738)**		(6,059)		(5,702)
Changes in operating assets and liabilities:						
Accounts receivable		**(7,191)**		(4,087)		(6,834)
Inventories		**1,284**		1,242		(1,123)
Other current assets		**(1,648)**		(1,991)		(709)
Other long-term assets		**(6,817)**		(2,833)		(2,805)
Accounts payable		**3,545**		(2,721)		2,943
Unearned revenue		**5,348**		5,535		5,109
Income taxes		**1,687**		(358)		696
Other current liabilities		**4,867**		2,272		2,344
Other long-term liabilities		**749**		553		825
Net cash from operations		**118,548**		87,582		89,035
Financing						
Proceeds from issuance of debt, maturities of 90 days or less, net		**5,250**		0		0
Proceeds from issuance of debt		**24,395**		0		0
Repayments of debt		**(29,070)**		(2,750)		(9,023)
Common stock issued		**2,002**		1,866		1,841
Common stock repurchased		**(17,254)**		(22,245)		(32,696)
Common stock cash dividends paid		**(21,771)**		(19,800)		(18,135)
Other, net		**(1,309)**		(1,006)		(863)
Net cash used in financing		**(37,757)**		(43,935)		(58,876)
Investing						
Additions to property and equipment		**(44,477)**		(28,107)		(23,886)
Acquisition of companies, net of cash acquired, and purchases of intangible and other assets		**(69,132)**		(1,670)		(22,038)
Purchases of investments		**(17,732)**		(37,651)		(26,456)
Maturities of investments		**24,775**		33,510		16,451
Sales of investments		**10,894**		14,354		28,443
Other, net		**(1,298)**		(3,116)		(2,825)
Net cash used in investing		**(96,970)**		(22,680)		(30,311)
Effect of foreign exchange rates on cash and cash equivalents		**(210)**		(194)		(141)
Net change in cash and cash equivalents		**(16,389)**		20,773		(293)
Cash and cash equivalents, beginning of period		**34,704**		13,931		14,224
Cash and cash equivalents, end of period	$	**18,315**	$	34,704	$	13,931

1. Remove non-cash items from net income

2. Convert accrual revenues and accrual expenses to cash revenues and cash expenses (ΔNWC)

Cash inflows and outflows associated with Microsoft's capital providers

Cash inflows and outflows associated with Microsoft's investments

Qantas Cash Flow Statements (Direct)

	2024 $M	2023 $M
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash receipts from customers	23,153	21,555
Cash payments to suppliers and employees	(19,549)	(16,356)
Interest received	116	128
Interest paid (interest-bearing liabilities)	(158)	(186)
Interest paid (lease liabilities)	(77)	(65)
Dividends received from investments accounted for under the equity method	5	12
Australian income taxes paid	(45)	–
Foreign income taxes paid	(4)	(3)
Net cash inflow from operating activities	**3,441**	**5,085**
CASH FLOWS FROM INVESTING ACTIVITIES		
Payments for property, plant and equipment and intangible assets	(2,673)	(2,563)
Interest paid and capitalised on qualifying assets	(88)	(31)
Payments for investments held at fair value	(5)	–
Proceeds from disposal of property, plant and equipment, net of costs	90	11
Payments for acquisition of non-controlling interest in subsidiary	(211)	–
Proceeds from disposal of shares in investments accounted for under the equity method	–	33
Payments for investments accounted for under the equity method	–	(75)
Net cash outflow from investing activities	**(2,887)**	**(2,625)**
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments for share buy-back	(852)	(1,000)
Payments for treasury shares	(292)	(103)
Proceeds from interest-bearing liabilities, net of costs	1,011	826
Repayments of interest-bearing liabilities	(1,176)	(1,669)
Repayments of lease liabilities	(708)	(690)
Proceeds from lease receivables	10	8
Payments for aircraft security deposits	(3)	–
Net cash outflow from financing activities	**(2,010)**	**(2,628)**
Net decrease in cash and cash equivalents held	**(1,456)**	**(168)**
Cash and cash equivalents at the beginning of the year	3,171	3,343
Effects of exchange rate changes on cash and cash equivalents	3	(4)
Cash and cash equivalents at the end of the year	**1,718**	**3,171**

Cash Flow Statement: An Illustration

Balance Sheet (Statement of Financial Position)	End of Fiscal Year 1	Beg. of Fiscal Year 1	Change in $
Cash	$15,000	$33,000	18,000 Decrease
Accounts Receivable	171,000	180,000	9,000 Decrease
Inventory	307,000	295,000	12,000 Increase
Land	336,000	250,000	86,000 Increase
Buildings and Equipment–Gross	1,628,000	1,430,000	198,000 Increase
Accumulated Depreciation	(653,000)	(518,000)	135,000 Increase
Total Assets	$1,804,000	$1,670,000	
Accounts Payable	$ 163,000	$ 160,000	$3,000 Increase
Deferred Revenue (Unearned Revenue)	99,000	110,000	11,000 Decrease
Income Tax Payable	34,000	24,000	10,000 Increase
Long-Term Debt: Bonds Payable	490,000	500,000	10,000 Decrease
Common Stock	850,000	800,000	50,000 Increase
Retained Earnings	168,000	76,000	92,000 Increase
Total Liabilities and Equity	$1,804,000	$1,670,000	

Income Statement for Fiscal Year 1

Revenues	$ 3,030,000
Cost of Goods Sold	(2,526,625)
Gross Margin	$ 503,375
Operating Expenses	
Depreciation Expense	(158,000)
Sales Commissions Expense	(34,000)
Total Operating Expenses	(192,000)
Operating Income	$ 311,375
Interest Expense	(44,000)
Gain on Sale of Equipment	17,000
Non-Operating Income	$ (27,000)
Income before Taxes	$ 284,375
Income Tax Expense	(102,375)
Net Income	$ 182,000

Additional Information

- Equipment with an original cost of $63,000 and carrying value of $40,000 was sold for $57,000 cash in fiscal year 1. All PP&E purchases during fiscal year 1 were made in cash.
- The deferred (unearned) revenue account represents cash received in fiscal year 1 or prior to fiscal year 1 from advance orders.
- Sales commissions expense and interest expense on the income statement were all paid in cash during fiscal year 1.
- The revenue recognized on the income statement of $3,030,000 during fiscal year 1 consists of the sum of (1) recognition of revenues from products sold for cash, (2) recognition of revenues from products sold on credit, and (3) recognition of revenue from fulfilling cash advance orders.
- Outstanding bonds (long-term debt) of $10,000 were retired using cash and common stock of $50,000 was issued for cash during fiscal year 1.
- Dividends of $90,000 were declared and paid in cash during fiscal year 1

Requirements: Prepare a Statement of Cash Flows under the indirect and direct methods for fiscal year 1.

Three-Step Process For Preparing the SCF

Step 1: Identify the journal entry (or entries) that led to the reported change in each *non-cash* balance sheet account.

Step 2: Determine the net cash flow effect of the journal entry (or entries) identified in Step 1.

Step 3: Compare the financial statement effect of each entry (Step 1) with its cash flow effect (Step 2) to determine what, *if any*, cash flow statement treatment is necessary for each item.

(1) Depreciation Expense

From the income statement, depreciation expense of $158,000 was recognized during fiscal year 1. Using the three-step approach:

Step 1: The journal entry to recognize depreciation expense was:

Depreciation Expense	**$ 158,000**	
Accumulated Depreciation		**$ 158,000**

Step 2: Neither of the two accounts in Step 1 involves cash. Indeed, depreciation is unlike most other expenses because the associated cash outflow often occurs ***before*** the expense recognition—i.e., when the asset is initially purchased.

Step 3: Depreciation expense was subtracted to determine net income (Step 1). But depreciation expense does *not* represent a cash outflow (Step 2). Consequently, it should be ***added back*** to net income in the Operating Activities section to obtain cash flows from operations.

(2) Gain on Equipment Sale of $17,000

Step 1: Journal entry to capture sale of equipment:

Accumulated Depreciation	**$ 23,000**	
Cash	**57,000 (given)**	
Equipment		**$ 63,000 (given)**
Gain on Sale		**17,000 (plug)**

Notice that the equipment originally cost $63,000 and its carrying value was $40,000, so the accumulated depreciation must have been $23,000

Step 2: The journal entry reveals that the sale resulted in a cash inflow of $57,000. This cash inflow is the result of sale of PP&E so it is part of investing activities.

Step 3: Comparing the accrual accounting effect (from Step 1) to the cash flow effect (from Step 2) reveals: (1) the recognized gain of $17,000 does not correspond to the cash inflow of $57,000, (2) the $17,000 gain is included in income and would be categorized as an operating cash flow unless removed—***the gain should be subtracted from net income in the operating activity section***—and (3) ***the $57,000 cash inflow from the sale of equipment must be reflected separately as an investing activity.***

(3) Decrease in Accounts Receivable of $9,000

Step 1: Suppose fiscal year 1 credit sales are $X and that all decreases in Accounts Receivable (A/R) are due to cash collections from customers (we will learn later that A/R could also decrease for other reasons), then a decrease in Accounts Receivable of $9,000 during fiscal year 1 would be captured by the following entry:

Cash	**$X + 9,000**	
Credit Sales (Revenue)		**$ X**
Accounts Receivable		**9,000**

Step 2: Examination of the entries from Step 1 reveals that the amount of cash collected from customers for credit sales *exceeded* credit sales (one component of revenue on the I/S) by $9,000.

Step 3: The $9,000 excess cash collections over accrual (credit) revenues must be ***added back to net income*** in order to convert credit sales (a component of revenues on I/S) to cash collected from customers.

(4) Increase in Inventory of $12,000

Step 1: If we initially assume that all inventory is purchased with cash (this assumption will be relaxed next), the two entries giving rise to a *$12,000 increase* in inventory are:

COGS (from the income statement)	**$2,526,625**	
Inventory		**2,526,625**
Inventory (see Purchases below)	**$2,538,625**	
Cash		**2,538,625**
Purchases = $2,526,625 (COGS) + $307,000 (Ending Inventory) – $295,000 (Beginning Inventory)		

Step 2: Examination of the two entries from Step 1 indicates that the amount of COGS that is deducted in the computation of net income ($2,526,625) is *lower* than the cash outflow to buy inventory ($2,538,625).

Step 3: Because the I/S reflects COGS and hence net income understates the cash outflow to acquire inventory, $12,000 must be ***deducted from net income*** to convert COGS to cash paid to suppliers.

(5) Increase in Accounts Payable of $3,000

- Note that Adjustment (4), for the increase in inventory, was computed under the *assumption* that all inventory is purchased for cash. But what if the inventory purchases were on credit and cash is then subsequently paid to inventory suppliers after their purchase (which is usually the case)?

- We now relax this assumption, because an analysis of the Accounts Payable (amounts owed to suppliers of inventory) account shows that it increased by $3,000 during fiscal year 1. A $3,000 increase in Accounts Payable means inventory purchases exceeded cash paid to suppliers by $3,000 during fiscal year 1.

- Therefore, $3,000 of the increase in Accounts Payable is ***added back to net income*** to convert purchases to cash paid to suppliers.

Analyzing Adjustments (4) and (5) together

Inventory

$295,000	
2,538,625 (total purchases)	2,526,625 (COGS from I/S)
$ 307,000	

Accounts Payable

	$160,000
	2,538,625
2,535,625 (cash paid to suppliers)	
	$163,000

COGS deducted on I/S during fiscal year 1	**$(2,526,625)**
Subtract: Inventory Increase [Adjustment (4)]	(12,000)
Equals 2024 *Inventory Purchases*	(2,538,625)
Add: Payables Increase [(Adjustment (5)]	3,000
***Cash paid (outflow) to suppliers* during fiscal year 1**	**$(2,535,625)**

- Taken together, adjustments (4) and (5) subtract $9,000 from net income, an amount equal to the difference between accrual-basis COGS of $(2,526,625) and cash paid to suppliers or cash outflow of $(2,535,625).

(6) Deferred Revenue: $11,000 Decrease

Step 1: A decrease in Deferred Revenue of $11,000 implies that, during fiscal 2024, the cash collected for advance orders was lower than the amount of revenues recognized from fulfilling advance orders by $11,000. Let the revenue recognized from fulfilling advance orders during fiscal year 1 be *$Y* (another component of revenues on the I/S), then the journal entry that reflects the *decrease* in the deferred revenue during fiscal year 1 was:

Deferred Revenue	**$11,000**	
Cash	***Y*** **– 11,000**	
Revenue from Advance Orders		**$*Y***

Step 2: The above entry implies that revenues recognized from fulfilling advance orders included in the computation of fiscal year 1 net income *exceeded* cash collected in advance from customers in fiscal year 1 by $11,000.

Step 3: Revenues from fulfilling cash advance orders included in the computation of fiscal year 1 net income exceeded fiscal year 1 cash inflows for advance orders by $11,000. Therefore, this amount should be ***subtracted from net income*** to convert revenue from fulfilling advance orders to cash collected for advance orders.

(7) Increase in Taxes Payable of $10,000

Step 1: Because income tax expense for fiscal year 1 was $102,375 (see I/S) and taxes payable increased by $10,000 during fiscal year 1, the journal entry to recognize income tax expense during fiscal year 1 was:

Income Tax Expense	**$102,375**	
Income Taxes Payable		**$ 10,000**
Cash		**92,375**

Step 2: The amount of income tax expense included in the determination of net income of $102,375 exceeds the cash outflow to pay taxes of $92,375 by $10,000.

Step 3: Because the income statement expense charge is more than the cash outflow for taxes by $10,000, this $10,000 amount ***must be added back to net income*** in the operating section of the cash flow statement to convert income tax expense to cash paid for taxes.

Operating Activities: Adjustments (1) through (7)

Operating Activities (Indirect Method) Fiscal Year 1		
Net Income		$182,000
Adjustments to reconcile net income to cash generated by operating activities		
+/– Non-Cash Charges:		
(1) Depreciation expense	$158,000	
(2) Gain on equipment sale	(17,000)	
+/– Changes in operating assets and liabilities:		
(3) Accounts receivable decrease	9,000	
(4) Inventory increase	(12,000)	
(5) Accounts payable increase	3,000	
(6) Deferred Revenue decrease	(11,000)	
(7) Income tax payable increase	10,000	
		140,000
Cash flow from operating activities (CFFO)		$322,000

CFFO: Direct and Indirect Methods

- *In general, under the Indirect Method:*

$$CFFO = NI +/– \text{Non-cash charges} – \Delta NWC$$

- *ΔNWC = Δ (Non-Cash) Current Operating Assets – ΔCurrent Operating Liabilities*
  = \$3,000 – 2,000 = \$1,000
- *Non-Cash Charges = Depreciation Expense of \$158,000 – Gain of 17,000*
  = \$ 141,000

Operating Activities (Indirect Method) Fiscal Year 1		
Net Income		\$ 182,000
Adjustments to reconcile net income to cash generated by operating activities:		
+ *Non-cash items*	141,000	
– *ΔNWC*	(1,000)	
		140,000
Cash flow from operating activities (CFFO)		\$ 322,000

Accrual vs. Cash Accounting

	Fiscal Year 1 Accrual Accounting	*Adjustment on Cash Flow Statement*	**Fiscal Year 1 Cash Accounting**
Revenues	$3,030,000	*(3) 9,000 – (6) 11,000*	$3,028,000
Cost of Goods Sold	(2,526,625)	*(4) (12,000) + (5) 3,000*	(2,535,625)
Gross Margin	$503,375	*(11,000)*	$492,375
Operating Expenses			
Depreciation Expense	(158,000)	*(1) 158,000*	0
Sales Commissions Expense	(34,000)	*0*	(34,000)
Total Operating Expenses	(192,000)	*158,000*	(34,000)
Operating Income	$311,375	*147,000*	$458,375
Interest Expense	(44,000)	*0*	(44,000)
Gain on Sale of Equipment	17,000	*(2) (17,000)*	0
Non-Operating Income	$(27,000)	*(17,000)*	(44,000)
Income before Taxes	$284,375	*130,000*	414,375
Income Tax Expense	(102,375)	*(7) 10,000*	(92,375)
Net Income	$182,000	*140,000*	$322,000

Investing Cash Flows: Adjustments (2), (8), and (9)

- Recall that Adjustment (2) showed that $57,000 cash was received from the sale of equipment during fiscal year 1. This represents an investing source of cash.

- Analysis of the Land account shows that it increased by $86,000 during fiscal year 1 [Adjustment (8)].

Step 1: The journal entry that reflects this increase is:

Land	**$ 86,000**	
Cash		**$86,000**

Step 2: The transaction reflects an outflow of cash of $86,000.

Step 3: The cash flow is categorized as an $86,000 investment outflow [Adjustment (8)].

(9) Buildings and Equipment Increase of $198,000

Step 1: The Buildings and Equipment–Gross account increased by $198,000. However, in computing the cash outflow, we cannot simply assume that the net increase of $198,000 was due to purchases, as we know that some equipment was sold during fiscal year 1 [see Adjustment (2)]. Let's therefore analyze the Buildings and Equipment–Gross Account:

Buildings and Equipment–Gross

$1,430,000	
261,000	*63,000*
$1,628,000	

Buildings and Equipment–Gross	**$ 261,000**	
Cash		**$ 261,000**

Step 2: This transaction represents a cash outflow of $261,000.
Step 3: This outflow is categorized as a $261,000 investment cash outflow [Adjustment (9)].

Relationship among Buildings & Equipment–Gross, Accumulated Depreciation, and Buildings & Equipment–Net accounts

Buildings and Equipment–Gross

$1,430,000	
	63,000
261,000	
$1,628,000	

Accumulated Depreciation (A/D)

	$518,000
23,000	158,000
	$653,000

Depreciation expense matches I/S amount

Carrying value of equipment sold is
63,000 – 23,000 = $40,000
(from additional information)

Buildings and Equipment–Net = Buildings and Equipment-Gross – A/D

$912,000	
	40,000 *(Sales at CV)*
261,000 *(Purchases)*	158,000 *(Depreciation expense)*
$975,000	

Investing Activities: Putting it all together Adjustments (2), (8), and (9)

Investing Activities	
(2) Cash proceeds from equipment sale	\$ 57,000
(8) Cash used to purchase land	(86,000)
(9) Cash used to purchase buildings and equipment	(261,000)
Cash Flow from Investing Activities (CFFI)	\$ (290,000)

Financing Cash Flows: Adjustments (10), (11), and (12)

- The increase in Common Stock indicates that additional capital was raised when new shares were issued. The decrease in Bonds Payable implies that long-term debt was repaid. Furthermore, the additional information lists a $90,000 cash dividend.
- **Step 1**: The stock sale journal entry was:

Cash	**$50,000**	
Common Stock		**$50,000**

- Dividends declared and paid in cash generated the following entry:

Retained Earnings	**$90,000**	
Cash		**$90,000**

- The long-term debt repaid generated the following entry:

Bond Payable	**$10,000**	
Cash		**$10,000**

Financing Cash Flows: Adjustments (10), (11), and (12)

Step 2: The cash effects of these three items imply a $50,000 cash inflow for new financing, a $90,000 dividend outflow, and a $10,000 outflow for debt repayment.

Step 3: The $50,000 cash inflow, $90,000 dividend outflow, and $10,000 outflow should be categorized as cash flows from financing activities [Adjustments (10), (11), and (12)].

Financing Activities: Adjustments (10), (11), and (12)

Financing Activities	
(10) Common stock issued	$ 50,000
(11) Dividends paid to shareholders	(90,000)
(12) Repayment of long-term debt	(10,000)
Cash Flow from Financing Activities (CFFF)	$ (50,000)

Statement of Cash Flows (Indirect Method) for Fiscal Year 1		
Operating Activities		
Net Income		$ 182,000
Adjustments to reconcile net income to cash provided by operating activities		
(1) Depreciation expense	$ 158,000	
(2) Gain on equipment sale	(17,000)	
(3) Accounts receivable decrease	9,000	
(4) Inventory increase	(12,000)	
(5) Accounts payable increase	3,000	
(6) Customer advance orders decrease	(11,000)	
(7) Income tax payable increase	10,000	
		140,000
Cash flow from operating activities (CFFO)		$ 322,000
Investing Activities		
(2) Equipment sale		$ 57,000
(8) Land purchase		(86,000)
(9) Buildings and equipment purchase		(261,000)
Cash flow from investing activities (CFFI)		**$ (290,000)**
Financing Activities		
(10) Common stock issued		$ 50,000
(11) Dividends paid		(90,000)
(12) Repayment of long-term debt		(10,000)
Cash flow from financing activities (CFFF)		**$ (50,000)**
Net Change in Cash (CFFO + CFFI + CFFF)		(18,000)
Beginning Cash–Fiscal Year 1		33,000
Ending Cash–Fiscal Year 1		$ 15,000

CFFO (Direct Method): Fiscal Year 1

Complete the following schedule to derive the cash flows from operations (CFFO) under the Direct Method:

Operating Activities (Direct Method)	
Total cash received from customers (for cash sales, credit sales, and advance orders)	?
Cash paid to suppliers of inventory	?
Cash paid for income taxes	?
Cash paid for sales commissions	?
Cash paid for interest	?
Cash Flows from Operations (CFFO)	$322,000

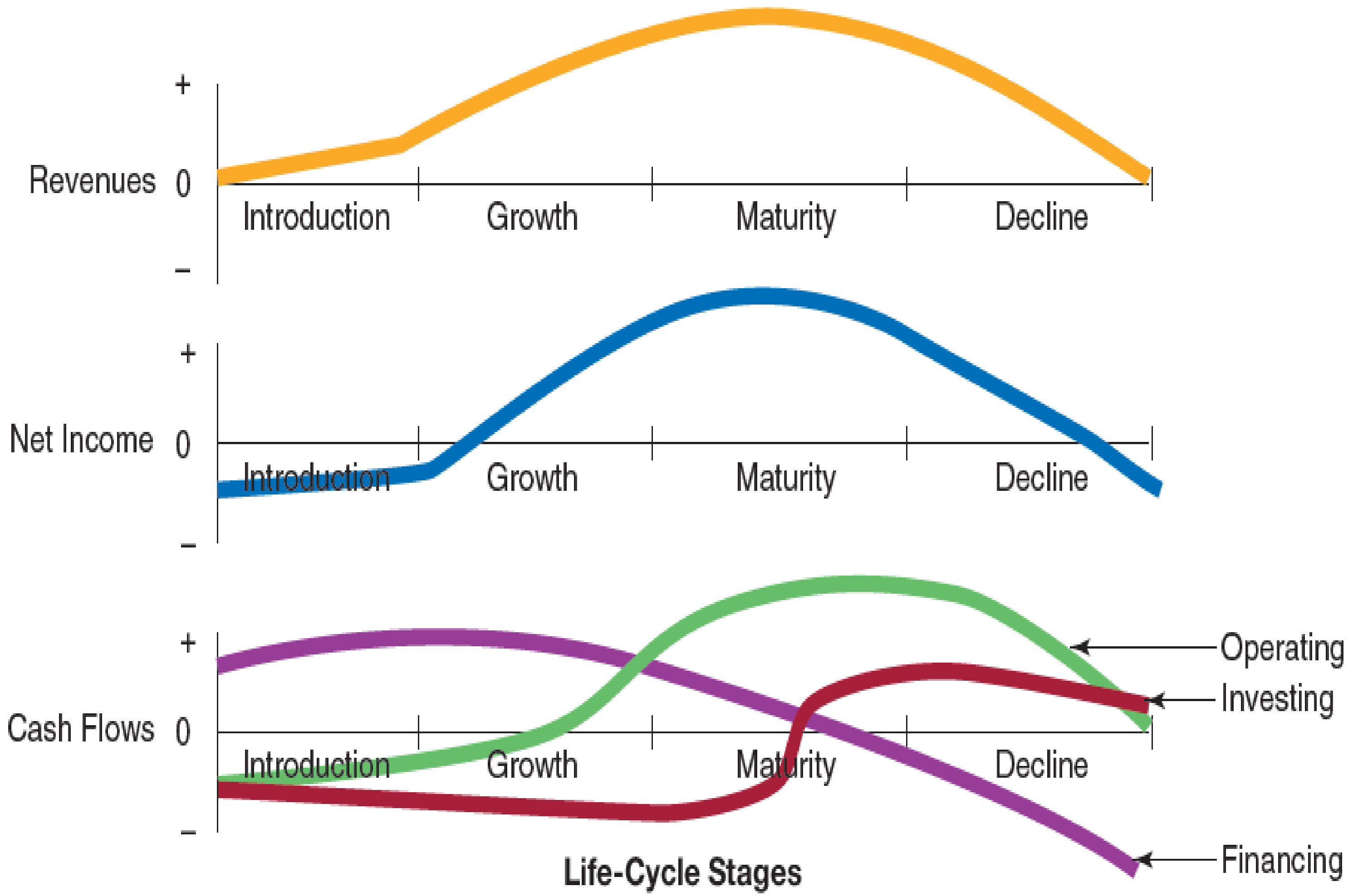
Converting Revenues to Total Cash Collected from Customers

Revenues Recognized: Fiscal Year 1 (I/S)	**$3,030,000**
Plus Decrease in Accounts Receivable	9,000
Less Decrease in Customer Advanced Orders	(11,000)
Cash collected from customers from cash sales, credit sales, and advance orders in fiscal Year 1	**$ 3,028,000**

Cash Flows From Operations (Direct Method): Fiscal Year 1

Operating Activities (Direct Method)	
Cash received from customers (for cash sales, credit sales, *and* advance orders)	$ 3,028,000
Cash paid to suppliers for inventory	(2,535,625)
Cash paid for income taxes	(92,375)
Cash paid for sales commissions	(34,000)
Cash paid for interest	(44,000)
Cash Flows from Operations (CFFO)	$322,000

Revenue, Net Income, and Cash Flow Patterns



SCF: Additional Issues

1. Microsoft acquires PP&E with a market value of $2B during fiscal 2023. It finances the purchase by issuing long-term notes payable with a market value of $2B to a seller; i.e., no cash is exchanged during fiscal 2023. How, if at all, would the transaction be recognized on Microsoft's SCF during fiscal 2023?

SCF: Additional Issues

2. Peloton Interactive (Peloton) acquired Tonic Fitness Technology (Tonic) for \$46M during fiscal 2020. The purchase price of \$46M was paid in cash by Peloton. Tonic had \$1M of cash on its balance sheet at the date of acquisition. How, if at all, would the transaction be recognized on Peloton's SCF during fiscal 2020?

Peloton's SCF

PELOTON INTERACTIVE, INC.
CONSOLIDATED STATEMENTS OF CASH FLOWS
(in millions)

	Fiscal Year Ended June 30, 2020	2019	2018
Cash Flows from Operating Activities:			
Net loss	$ (71.6)	$ (195.6)	$ (47.9)
Adjustments to reconcile net loss to net cash provided by (used in) operating activities:			
Depreciation and amortization expense	40.2	21.7	6.6
Stock-based compensation expense	88.8	89.5	8.5
Non-cash operating lease expense	47.7	—	—
Other non-cash items	6.4	(1.4)	1.0
Changes in operating assets and liabilities:			
Accounts receivable	11.3	(9.1)	(4.1)
Inventories	(96.8)	(111.3)	(9.6)
Prepaid expenses and other current assets	(33.1)	(30.3)	(12.1)
Other assets	(22.1)	(5.5)	1.4
Accounts payable and accrued expenses	133.4	117.3	41.0
Customer deposits and deferred revenue	272.3	2.2	63.0
Operating lease liabilities, net	(23.6)	—	—
Other liabilities	23.5	13.8	1.9
Net cash provided by (used in) operating activities	376.4	(108.6)	49.7
Cash Flows from Investing Activities:			
Purchases of marketable securities	(1,199.6)	(249.8)	—
Maturities of marketable securities	435.4	36.0	—
Sales of marketable securities	224.3	—	—
Cash paid for cost method investment	(0.1)	(0.6)	—
Acquisition of business, net of cash acquired	(45.0)	(0.1)	(28.7)
Purchases of property and equipment	(156.4)	(83.0)	(28.0)
Net cash used in investing activities	(741.3)	(297.5)	(56.7)
Cash Flows from Financing Activities:			
Proceeds from issuance of common stock upon initial public offering, net of offering costs	1,195.7	—	—
Repurchase of common and convertible preferred stock, including issuance costs	—	(130.3)	—
Proceeds from issuance of redeemable convertible preferred stock, net of issuance costs	—	539.1	—
Proceeds from employee stock purchase plan withholdings	7.0	—	—
Repayments of debt	—	—	(3.1)
Debt issuance costs	—	(0.9)	(1.2)
Proceeds from exercise of stock options	37.4	9.3	7.4
Net cash provided by financing activities	1,240.2	417.2	3.1
Effect of exchange rate changes	(1.2)	0.2	—
Net change in cash, cash equivalents, and restricted cash	874.0	11.3	(3.9)
Cash, cash equivalents and restricted cash — Beginning of period	163.0	151.6	155.5
Cash, cash equivalents and restricted cash — End of period	$ 1,037.0	$ 163.0	$ 151.6
Supplemental Disclosures of Cash Flow Information:			
Cash paid for interest	$ 1.9	$ 1.1	$ 0.3
Cash paid for income taxes	$ 4.1	$ —	$ —
Supplemental Disclosures of Non-Cash Investing and Financing Information:			

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SCF: Additional Issues

3. In general, explain why the changes in current assets and current liabilities calculated from two consecutive balance sheets for the same fiscal year *rarely match* the changes for the same assets and liabilities for the same fiscal year in the operating section of the SCF under the indirect method?

Amazon's Balance Sheets

AMAZON.COM, INC.

CONSOLIDATED BALANCE SHEETS
(in millions, except per share data)

Δ Inventory = $23,795-20,497
= $3,298

Δ Accounts Payable = $72,539-47,183
= $25,356

	December 31, 2019	December 31, 2020
ASSETS		
Current assets:		
Cash and cash equivalents	$ 36,092	$ 42,122
Marketable securities	18,929	42,274
Inventories	20,497	23,795
Accounts receivable, net and other	20,816	24,542
Total current assets	96,334	132,733
Current liabilities:		
Accounts payable	$ 47,183	$ 72,539
Accrued expenses and other	32,439	44,138
Unearned revenue	8,190	9,708
Total current liabilities	87,812	126,385

Amazon's SCF

AMAZON.COM, INC.

CONSOLIDATED STATEMENTS OF CASH FLOWS
(in millions)

	Year Ended December 31,		
	2018	**2019**	**2020**
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, BEGINNING OF PERIOD	$ 21,856	$ 32,173	$ 36,410
OPERATING ACTIVITIES:			
Net income	10,073	11,588	21,331
Adjustments to reconcile net income to net cash from operating activities:			
Depreciation and amortization of property and equipment and capitalized content costs, operating lease assets, and other	15,341	21,789	25,251
Stock-based compensation	5,418	6,864	9,208
Other operating expense (income), net	274	164	(71)
Other expense (income), net	219	(249)	(2,582)
Deferred income taxes	441	796	(554)
Changes in operating assets and liabilities:			
Inventories	(1,314)	(3,278)	(2,849)
Accounts receivable, net and other	(4,615)	(7,681)	(8,169)
Accounts payable	3,263	8,193	17,480
Accrued expenses and other	472	(1,383)	5,754
Unearned revenue	1,151	1,711	1,265
Net cash provided by (used in) operating activities	30,723	38,514	66,064